

number of credit cards that you have, you'll also limit the amount that you ultimately charge. The more you have, the more you tend to use. It just doesn't seem like you owe a lot if you charge \$10 on one card and \$25 on another, and so on. Most people do not know the total that they owe on all their debt obligations combined; they are too scared to add it up.

When people find they have accumulated more debt than they can handle, many times they shift the blame to the credit card company. If only they had not sent me the application in the mail or made me sign up for the card at their booth at the student union. Instead of viewing credit as being the cause of your financial problems, you must realize that credit is not inherently evil. It is a wonderful tool to help you get things that are expensive or that you need right away. Credit used wisely is powerful; credit used in ignorance is very dangerous.

In this chapter, credit will be demystified and simple guidelines to its wise use will be provided. You will learn:

- What APR is and the reason to compare interest rates
- The cost of credit (time and money)
- When to buy on credit
- If it is ever smart to pay one debt with another
- How to figure out your safe debt level
- How to get out of debt
- What a debt consolidation loan is
- If you should ever rent-to-own
- The power of a credit report
- How to legitimately turn a credit rating from bad to good

Since a large percentage of bankruptcies are linked to excessive debt, this chapter will lay the foundation to understanding how to avoid becoming another statistic. Once you master how to use credit wisely, it can become a powerful financial tool to help you get the things you both want and need.

